India’s entry into the Shanghai Cooperation Organisation as a full member in 2017, which facilitates India taking part in joint military exercises and counter-terrorism operations together with Chinese forces, does not change the overall picture of India, through its cooperation with the United States, Japan, and Russia, pursuing a policy of moderate alignment with the goal of strengthening its own position vis-à-vis China.

## *Defence and border policies*

The most common indicator of internal balancing behaviour is the defence spending/gross domestic product (GDP) ratio. According to Stockholm International Peace Research Institute (SIPRI) figures, China has, since 2000, spent an annual average of 2.0 percent of GDP on defence, while India has spent an average 2.6 percent of its GDP on defence in the same period. In 2018, China’s defence spending/GDP ratio was 1.9 percent, while India’s was 2.4 percent. However, India’s annual defence spending/GDP ratio has declined from an average of 2.9 percent in the 1990s. Even though India has had a higher defence spending/GDP ratio than China, the military power gap is widening in favour of China due to China’s economy outrunning that of India. The result of this development is that while India’s defence expenditure in 2000 accounted for 66 percent of that of China, that number had fallen to 35 percent by 2010 and even further by 2018, with India’s defence expenditure now accounting for only 26 percent of China’s. Against such odds, it is difficult for India to be a counterweight. India has, for the last decade, been the biggest arms importer in the world,[1] but an important factor explaining India’s position as the number-one arms importer is that it still remains dependent upon foreign suppliers for